

Congressional control shapes Treasury yields

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Government structure matters for bonds, as unified control of the White House and both chambers of Congress by one party tends to drive higher Treasury yields.

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A likely 2026 "trifecta break"—the loss of unified Republican control—would fit a familiar pattern, with Eurasia Group analysis of 64 years of bond market data finding that yields tend to rise into midterm elections and fall in the two years following the loss of unified control.

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Government structure and party also shape the fiscal picture—unified Democratic governments have run the largest deficits in the period we assessed, and Treasury yields tend to rise accordingly, while equity markets show no significant reaction patterns across government structures or midterm cycles.

Treasury yields tend to rise under unified governments. There is a statistically significant relationship between single-party control of the executive and legislative branches of the US government and bond yields. Under unified governments, defined as one party controlling the White House, Senate, and House, ten-year Treasury yields have risen more than they do under divided governments.

There are also interesting relationships when the data are broken down by government structure and presidential party. For example, yields tend to fall more under divided governments with Republican presidents than under other configurations (see: GOP advantage in the Senate race is eroding , 26 March 2026). This pattern holds across both first and second presidential terms, as seen in the chart below.

We estimate a unified government premium of about 4.7 basis points (bps) per month. That is roughly 113 bps over a two-year Congress—holding the president's party fixed. The association survives a control for year-on-year Consumer Price Index (CPI) inflation, which itself is positively related to yield changes. We ran regressions and robustness checks on a historical monthly panel dataset for ten- and two-year Treasury yield changes and equity returns across all capitalizations. The estimate rises to about 7.7 bps per month in a shorter sample that also controls for the federal deficit. Details of the

methodology of the study can be found in the Appendix section of the accompanying deck (see: Technical details: Congressional control shapes Treasury yields , 27 August 2026).

Our study found no statistically distinguishable relationship between government structure (unified versus divided) and equity returns across large-, mid-, and small-cap indices. We also found no analogous midterm shock for equity prices.

Moving from unified to divided government at the midterm has historically been followed by lower Treasury yields. Unified governments have historically been short-lived. Aside from former president Jimmy Carter's administration—during which interest rates were heavily impacted by the "Volcker shock"—every subsequent unified government has been broken at the next midterm election, and bond yields have reacted to these changes. The chart below shows that when unified governments lose control at the midterm, ten-year Treasury yields tend to rise into the election and decline over the following two years. By contrast, the cumulative yield path for all other midterm cycles moves in the opposite direction.

The November 2026 midterm elections will determine whether the current Republican trifecta under President Donald Trump's second term survives. Eurasia Group currently gives Democrats 85% odds of taking the House and has recently lowered the odds of Republicans retaining the Senate to 55% (see: US political and economic update , 6 August 2026). The likely break in Republican unified control in the upcoming midterms will provide another test of whether that historical dynamic still holds—as Eurasia Group recently argued, markets often reprice Federal Reserve expectations around midterms when a shift in congressional control reshapes the fiscal outlook (see: US midterms likely to shift expectations of Fed actions , 27 July 2026).

Unified Democratic governments spend more—and Treasury yields rise more in response. Unified Democratic governments tend to pass larger spending plans, and yields have risen more in those periods—though Democrats also took unified control after the 2008 and 2020 economic shocks. By contrast, under divided governments from either party, yields tend to fall. The chart below shows substantive differences between the two groups.

Since 1980, headline monthly federal deficits—not cyclically adjusted, and including interest—average \$135 billion (in 2026 dollars), compared with a \$62 billion deficit for divided governments. The Treasury yield data reveal striking differences as well, with an average yield increase of 4.7 bps per month for unified Democrats versus a drop of 3.4 bps per month for divided governments during that same period. For reference, unified Republican governments also have an average monthly deficit of \$67 billion, and an average yield increase of 2.0 bps per month.

Legislative stasis under divided governments post-midterms puts modest downward pressure on bond yields, per our statistical analysis. However, there is a downside risk that Democrats use new leverage to block scheduled Medicaid, SNAP, and Inflation Reduction Act cuts from last year's reconciliation bill, widening the deficit relative to the current baseline in 2027–2028 (see: US political and economic update , 6 August 2026).

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